



THE ROLE OF INNOVATIVE LEADERSHIP IN THE ORGANIZATIONAL TRANSFORMATION PROCESS (BASED ON THE EXAMPLE OF COMPANIES OPERATING IN GEORGIA)

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RESUME

In today's rapidly evolving business environment, Innovative leadership is recognized as a critical determinant of successful organizational transformation. Apart from traditional leadership approaches, innovative leadership emphasizes creative problem-solving, high adaptability, and the critical evaluation of existing organizational practices.

Contemporary research suggests that innovative leaders exert a positive influence on organizational changes by enhancing employee motivation, fostering innovation, and facilitating knowledge sharing. This leadership approach is often operationalized through specific mechanisms, including the development of organizational learning, the psychological empowerment of employees, and the cultivation of an innovation-oriented organizational culture.

Despite the growing academic interest in this domain, there remain insufficiently explored aspects concerning the role of innovative leaders in driving organizational transformation processes.

The present study aims to examine the impact of innovative leadership on organizational transformation within companies operating in Georgia. The research reflects quantitative and descriptive-correlational methodologies to measure managerial perceptions and to analyse the relationship between innovative leadership and organizational transformation.

The findings and key insights of the study clearly indicate that in companies operating in Georgia, innovative leadership has a strong positive impact both on the organizational transformation process (as perceived by 79% of the surveyed managers) and on the level of employee engagement in this process (as reported by 81% of the respondents).

Keywords: Innovative leadership, Organizational Transformation, Transformational Leadership, Technological Changes, Leadership Style.

MAIN TEXT

Innovative leadership is a management style that enables the development and implementation of new ideas, processes, technologies, or business models within an organization. It is considered to encompass a manager's ability to effectively realize the commercial success of new methods, products, services, technologies, or ideas. In highly competitive and rapidly changing business environments, organizations require leaders who not only respond to changes but also serve as the main driving force behind organizational transformation.

Changes are a highly significant and critically important process, where the effective functioning of a company and the achievement of competitive advantage would be virtually impossible.

Therefore, it becomes imperative for contemporary leaders to develop a long-term vision and to cultivate appropriate behavioural competencies among employees, which effectively support the complex process of organizational transformation within the organization.

Based on existing research, it is possible to identify the key mechanisms through which innovative leadership facilitates the successful implementation of organizational transformation. Particularly:

1. Formulating a strategic vision and communicating it inspiring to employees.
2. Establishing and supporting an innovation-oriented organizational climate.
3. Effectively managing the scale and pace of transformation.
4. Integrating innovative practices into transformational processes.
5. Selecting the optimal timing for implementing changes.

Furthermore, contemporary studies on organizational transformation often highlight the leader's role as a critical factor influencing employee attitudes, strategic vision, and the effectiveness of processes. These studies indicate that the approaches of creative leaders in organizing communication, fostering employee engagement, and managing the implementation of changes have a significant impact on the success of organizational transformation.

Innovative leadership becomes particularly important when organizations transition from stable to dynamic business environments, where cost optimization, technological changes, and global competition create a clear necessity for leaders to act as central agents of innovation and transformation.

Accordingly, for organizations aiming to activate innovative leadership within the transformation process, implementing technological or operational changes alone is insufficient. Innovative leadership requires the presence of managers with competencies that additionally ensure:

1. The formulation of a strategic plan and its active communication to employees.
2. The creation of an appropriate work environment and organizational culture to support changes.
3. The review and redesign of organizational processes and structures using innovative approaches.
4. Continuous and unconditional support for changes, particularly through direct involvement of top management.
5. Active employee engagement, enabling leaders to participate as proactive agents in the change process.
6. Opportunities for learning and development, allowing the organization to adapt effectively to new realities.

This study aims to determine the impact of innovative leadership on organizational transformation. Specifically, the research objectives are to:

1. Assess the influence of innovative leadership on the organizational change process.
2. Examine the relationship between leaders' innovativeness and employee engagement, as well as attitudes toward changes.

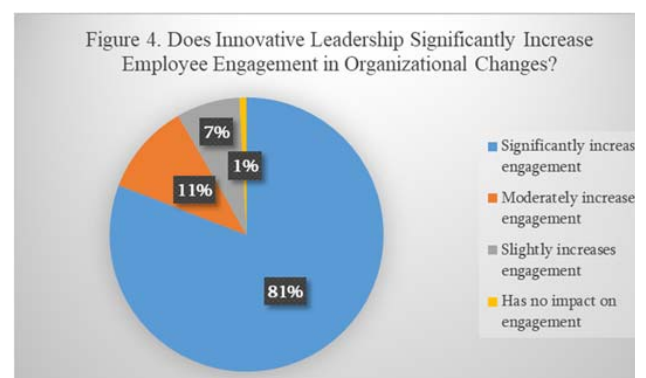
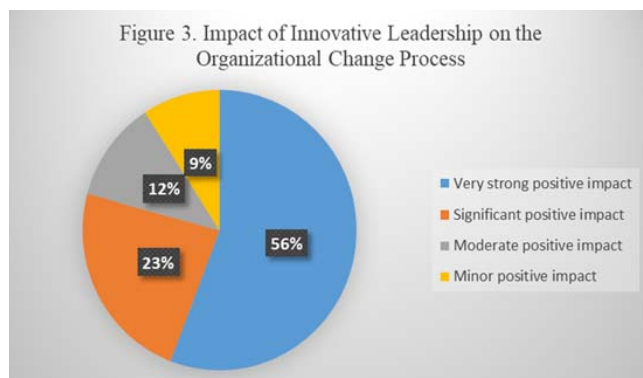
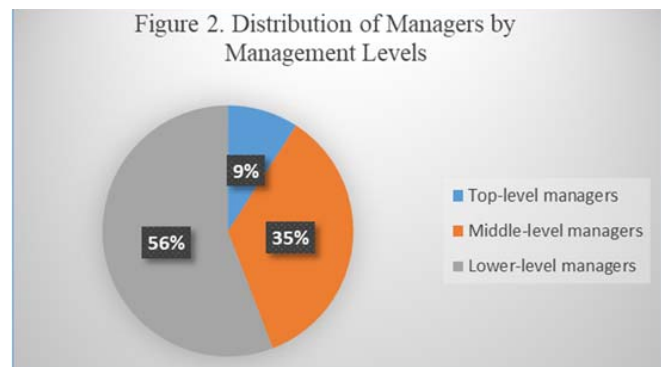
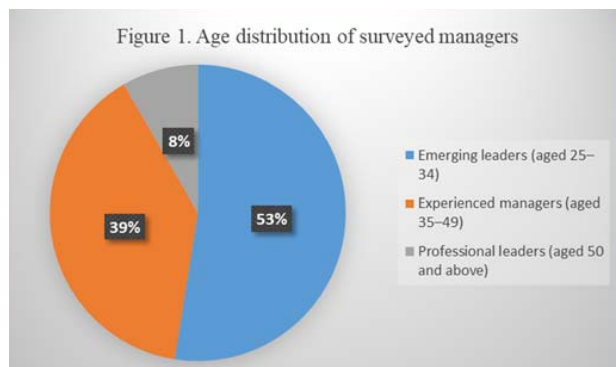
The study applied quantitative and descriptive-correlational research methods, aimed at evaluating managers' perceptions and providing a detailed analysis of the relationship between innovative leadership and organizational transformation.

The target population consisted of managers at different levels within companies operating in Georgia who actively participate in decision-making and organizational change processes. A total of 120 managers representing lower, middle, and upper management levels across the sectors of finance, technology, and production were surveyed. Data were collected via Google Forms and analysed using SPSS.

Within the scope of the study, the hypotheses were formulated as follows:

- **Hypothesis 1 (H1):** Innovative leadership is positively associated with the level of organizational transformation.
- **Hypothesis 2 (H2):** Innovative leadership significantly increases employee engagement in the organizational change process.

Among the surveyed managers, 53% were classified as "next-generation leaders," 39% as "experi-



Source: Developed by the author Source: Developed by the author

Table 1. Correlational Relationships of Innovative Leadership with Organizational Transformation and Employee Engagement

Variables	Correlation Coefficient (r)	p-value	Interpretation
Innovative Leadership ↔ Level of Organizational Transformation	0.68	< 0.001	Strong positive correlation
Innovative Leadership ↔ Employee Engagement	0.73	< 0.001	Very strong positive correlation

Source: Developed by the author

Table 2. Means and Standard Deviations of the Key Variables in the Study

Variable	Mean (M)	Standard Deviation (SD)
Innovative Leadership	4.12	0.63
Employee Engagement	3.94	0.71
Level of Organizational Transformation	4.06	0.59

Source: Developed by the author

enced leaders,” and 8% as “professional leaders” (see Figure 1). Regarding management levels, 56% of respondents were lower-level managers, 35% were middle-level managers, and 9% were upper-level managers (See Figure 2).

Regarding the impact of innovative leadership on organizational change, 56% of respondents eval-

uated it as having a “very significant positive effect,” 23% as a “significant positive effect,” 12% as a “moderate positive effect,” and 9% as a “minimal positive effect.” These findings indicate that, overall, approximately 79% of respondents consider innovative leadership to have a substantial impact on organizational transformation (See Figure 3).

The analysis of the study results also revealed that the majority of respondents, 81%, believe that innovative leadership significantly enhances employee engagement in organizational change processes (See Figure 4).

According to the testing of the hypotheses formulated for the study, both hypotheses were confirmed (See Table 1):

- **Hypothesis 1 (H1):** “Innovative leadership is positively associated with the level of organizational transformation.” Evidence: $r = 0.68$, $p < 0.001$. The results indicate that higher levels of innovative leadership are associated with more profound structural transformation within Georgian companies.
- **Hypothesis 2 (H2):** “Innovative leadership significantly increases employee engagement in the organizational change process.” Evidence: $r = 0.73$, $p < 0.001$. The findings reveal that in Georgian companies, innovative leaders create an environment where employees not only comply with changes but also actively participate in and support the process.

Based on the statistical analysis of the data, all variables exhibit high mean values, while the moderate range of standard deviations (0.59–0.71) indicates low data dispersion and a relatively uniform distribution of respondents’ answers (See Table 2).

The results of the study indicate that innovative leadership is a key determinant both in terms of the depth of organizational transformation and employee engagement in the process.

CONCLUSION

The findings confirm that in companies operating in Georgia, innovative leadership is a highly significant and decisive component in the effectiveness of organizational transformation. The presence of innovative leaders not only increases employee engagement in change processes but also substantially contributes to the successful implementation of organizational transformation. The collected data demonstrate that the higher the level of managers’ innovative leadership skills, the more effective and sustainable the organizational changes become.

Therefore, alongside technological development, it is recommended that any organization implement systematic programs for the development of innovative leadership, including the formulation of a strategic vision, the promotion of employee engagement, the reinforcement of an innovation-oriented culture, and the introduction of effective change management mechanisms to ensure the sustainability of organizational transformation processes and enhance the organization’s competitive advantage.

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რეზიუმე

სწრაფად ცვალებად ბიზნეს გარემოში, ინოვაციური ლიდერობა წარმატებული ორგანიზაციული ტრანსფორმაციისთვის ერთ-ერთ გადამწყვეტ ფაქტორად ითვლება. ტრადიციული ლიდერობისგან განსხვავებით, ეს მიდგომა ეფუძნება კრეატიულ აზროვნებას, მაღალი დონის მორგებადობას და არსებული ორგანიზაციული პრაქტიკის კრიტიკულ გააზრებას.

როგორც თანამედროვე კვლევები გვიჩვენებს, ინოვაციური ლიდერები დადებითად მოქმედებენ ორგანიზაციულ ცვლილებებზე თანამშრომლების მოტივაციის ამაღლების, ინოვაციის ხელშეწყობის და ცოდნის გაზიარების სტიმულირებით. ლიდერობის ამგვარი მიდგომა ხშირად რეალიზდება კონკრეტული მექანიზმების მეშვეობით, მათ შორის ორგანიზაციული სწავლების განვითარებით, თანამშრომელთა ფსიქოლოგიური გაძლიერებითა და ინოვაციაზე ორიენტირებული კულტურის ჩამოყალიბებით.

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წინამდებარე კვლევის მიზანია დავადგინოთ, როგორ გავლენას ახდენს ინოვაციური ლიდერობა ორგანიზაციული ტრანსფორმაციის პროცესზე ქართულ კომპანიებში.

ნაშრომში გამოყენებულია რაოდენობრივი და აღწერით-კორელაციური კვლევა, რომელიც მიზნად ისახავს მენეჯერების მოსაზრებების გაზომვას და ინოვაციური ლიდერობისა და ორგანიზაციული ტრანსფორმაციის ურთიერთკავშირის ანალიზს.

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საკვანძო სიტყვები: ინოვაციური ლიდერობა, ორგანიზაციული ტრანსფორმაცია, ტრანსფორმაციული ლიდერობა, ტექნოლოგიური ცვლილებები, ლიდერობის სტილი.